Jennifer M. Jones
Deputy Executive Secretary
Attention: Comments—RIN 3064-AG19
Federal Deposit Insurance Corporation
550 17th Street NW
Washington, DC 20429

April 20, 2026

Re: RIN 3064-AG19, GENIUS Act Requirements and Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers and Insured Depository Institutions (91 Fed. Reg. 18534, April 10, 2026)

Dear Ms. Jones:

Tokenization Systems, an independent research program on stablecoin and payment infrastructure regulation, submits this comment on the FDIC's proposed substantive requirements for FDIC-supervised Permitted Payment Stablecoin Issuers (PPSIs) and insured depository institutions (IDIs). The comment's central proposition is that three structural features of PPSI operations warrant specific treatment in the final rule: reserve custody concentration as a distinct risk channel from reserve composition; conditional deposit insurance pass-through as a structural-discipline mechanism gated on operator qualification rather than categorically foreclosed; and control-layer observability as a first-order supervisory capability established through the reporting and risk management provisions. The research program supports the FDIC's careful proposed implementation and offers twelve specific recommendations and one observation, each responsive to one or more of the FDIC's numbered questions.

The comment applies the research program's control-layer framework, grounded in the Control Layer Intensity Index (CLII, SSRN abstract 6267698) and the Minimum Viable Equivalence Pack (MVEP, SSRN abstract 6363138), both available on SSRN. CLII scores stablecoin operators on the intensity of operational control they exercise over issuance, routing, custody, and compliance functions; MVEP identifies ten categories of structural features that distinguish operators whose architectures provide functional equivalents to traditional deposit protection from those whose architectures do not. MVEP is particularly consequential for this rulemaking because it provides a principled mechanism for distinguishing PPSIs whose structural integrity merits differentiated treatment (including, as discussed in Section IV, conditional deposit insurance pass-through) from those whose architectures do not. Tokenization Systems has submitted prior comments applying this framework to the OCC implementing rule for PPSIs (Docket OCC-2025-0372, including a supplemental comment on interface-layer conduct) and to Treasury's state-similarity principles (TREAS-DO-2026-0232). Companion comments on the parallel FinCEN general AML/CFT rulemaking (FINCEN-2026-0034), the FinCEN-OFAC PPSI rulemaking (FINCEN-2026-0100), the banking agency joint AML/CFT rule (91 Fed. Reg. 18304), and the FDIC application rule (RIN 3064-AG20) are submitted alongside or shortly preceding this comment. The seven federal rulemakings across six dockets together define the operational architecture within which PPSIs will issue payment stablecoins; the recommendations in this comment are designed to coordinate with the parallel rulemakings rather than to duplicate or contradict them.

The comment makes twelve specific recommendations organized in three groups and one structural observation. Group I (Recommendations 1 through 6) addresses reserve asset composition, diversification, and custody concentration, responsive to Questions 40, 47, 50, 51, 55, 57, 60, and 67. Group II (Recommendations 7 through 10) addresses deposit insurance coverage and tokenized deposits, responsive to Questions 38, 125, 130, 131, 134, and 138. The centerpiece of Group II, Recommendation 7, proposes a conditional pass-through deposit insurance framework gated on MVEP qualification, representing the research program's principal substantive contribution to this rulemaking. Group III (Recommendations

11 and 12) addresses risk management, private key management, and control-layer observability through supervisory reporting, responsive to Questions 83 and 91. The observation addresses capital framework calibration under Question 100. Each recommendation is implementable within the proposed rule's existing structure and is consistent with the GENIUS Act's statutory architecture.

I. Framing: Three structural features warrant distinct treatment

The FDIC's proposed rule addresses many operational dimensions of PPSI supervision. The research program's analytical contribution focuses on three structural features where the proposed rule's current treatment may be refined without expanding the rule's scope: reserve custody concentration, deposit insurance pass-through, and control-layer observability.

Reserve custody concentration is a distinct risk channel from reserve composition. The proposed § 350.4(e) reserve composition requirements, mirroring section 4(a)(1)(A) of the GENIUS Act, define what assets may back payment stablecoins. The proposed § 350.4(f) diversification requirements define where those assets may be held. Composition and concentration are distinct risk dimensions that produced distinct transmission channels during the March 2023 Silicon Valley Bank failure. Group I addresses the concentration channel specifically.

Deposit insurance pass-through can be a structural-discipline mechanism, not a categorical exposure. The FDIC's proposed § 330.11(a)(3) forecloses pass-through deposit insurance for reserve deposits on the theory that pass-through would be inconsistent with 12 U.S.C. 5903(e)(1)'s prohibition on stablecoins being subject to deposit insurance. This reading is more categorical than the statute requires. Pass-through is a recognized mechanism in FDIC doctrine that attaches coverage to underlying deposits while leaving other instruments uninsured; the GENIUS Act's prohibition addresses the stablecoin itself, not the underlying deposit. Group II, centered on Recommendation 7, proposes that pass-through be available only to PPSIs meeting a high MVEP qualification threshold, turning pass-through from a categorical exposure to a structural-discipline tool.

Control-layer observability is established through the reporting and risk management provisions. The FDIC's proposed § 350.7(g) weekly confidential report and § 350.6(b) information technology and security program together define the FDIC's operational visibility into the PPSI's control-layer functions. Group III addresses these provisions specifically, proposing calibrations that surface the structural features most relevant to ongoing supervision.

II. MVEP as a diagnostic framework

Because the Minimum Viable Equivalence Pack (MVEP) is the load-bearing framework for Recommendation 7's conditional pass-through proposal, this section introduces the framework in sufficient detail to support the recommendations that follow. MVEP is a ten-category diagnostic framework developed to convert the categorical distinction between "deposit" and "not a deposit" into a graduated assessment of structural integrity across legal, operational, and economic dimensions (Zukowski, "Minimum Viable Equivalence Pack," SSRN 6363138). The framework is not a regulatory scoring system but a diagnostic tool; its value for this rulemaking is that it provides a principled basis for distinguishing operators whose architectures merit differentiated treatment from those whose architectures do not.

The ten MVEP categories, each with required evidence and a pass condition, are:

1. **Rights Parity.** Tokenholder rights match the underlying claim in contract and enforcement, verified independently of marketing materials.

2. **System of Record.** One authoritative record exists, with a defined path to resolve disagreements between records.
3. **Records and Reconciliation.** Timing discrepancies close before valuation or liquidation events; integrity discrepancies trigger defined halt procedures; no unresolved unknowns.
4. **Custody and Customer Property.** Customer property treatment is explicit, verified under documented stress scenarios, and consistent with disclosures.
5. **Insolvency Posture.** Claim priority is clear; rehypothecation and forced conversion risks are explicit.
6. **Settlement Finality.** Finality criteria and reversal authority are explicit; value integrity is verifiable under oracle disruption.
7. **Reorg / Exception Handling.** Halt triggers, loss allocation, and communication timelines are pre-agreed and tested.
8. **Governance and Change Control.** Every change is logged, approved, and reversible; audit log demonstrates continuous compliance since launch.
9. **Disclosures.** Disclosures match product reality under stress; no material risk is absent.
10. **Collateral Operability.** Collateral can be liquidated via at least one path under each stress scenario within the contractual deadline, or loss allocation for failure is explicit and pre-agreed.

Of these ten categories, six are most directly relevant to deposit insurance pass-through qualification. These six categories together determine whether a payment stablecoin holder's practical position approximates the protections afforded to a depositor through pass-through insurance:

- **Category 1 (Rights Parity)** is the first-order condition for pass-through: if the holder's legal claim against the PPSI is materially weaker than a depositor's claim against an IDI, pass-through coverage would attach to an underlying structure from which the holder does not meaningfully benefit.
- **Category 4 (Custody and Customer Property)** addresses reserve segregation and customer-property treatment, which are the structural preconditions for pass-through to attach to the reserve deposit rather than to the PPSI's general estate.
- **Category 5 (Insolvency Posture)** determines whether the holder's claim priority in a PPSI insolvency allows the reserve deposit's insurance coverage to flow through to the holder rather than to the PPSI's general creditors.
- **Category 6 (Settlement Finality)** determines whether the redemption obligation is par-stable and whether the value integrity of the reserve deposit to which pass-through coverage would attach is verifiable under stress.
- **Category 8 (Governance and Change Control)** ensures that the PPSI's admin key policies, change control discipline, and audit logging support the ongoing integrity of the pass-through arrangement, including timely disclosure of material changes in MVEP qualification.
- **Category 9 (Disclosures)** ensures that holders receive accurate, product-specific disclosure of pass-through status, conditions under which it may lapse, and the legal nature of their claim when it is not available.

The six-category subset identified above is an application-specific analytical step layered on top of MVEP's canonical baseline, not a substitute for it. As specified in MVEP (SSRN abstract 6363138, Section 2), the four categories most directly tied to the GENIUS Act's 1:1 reserve regime, redeemability, segregation, and disclosure obligations (Categories 1, 4, 5, and 9) are baseline-mandatory for any GENIUS-compliant PPSI. The two additional categories elevated here, Category 6 (Settlement Finality) and Category 8 (Governance and Change Control), are added because pass-through coverage is sensitive to per-redemption value integrity under stress (a multi-dimensional concern spanning operational and economic dimensions in MVEP's framework) and to ongoing disclosure of material changes in qualification status (an operational-dimension concern). Together, the six categories define the structural-discipline floor that the FDIC may reasonably require before extending pass-through coverage to a PPSI's reserve deposits.

For purposes of Recommendation 7, MVEP qualification would require (a) an aggregate score of at least 8 out of 10 across the ten-category framework, (b) no single category scoring below 6 out of 10, and (c) all six of the pass-through-critical categories enumerated above scoring at least 7 out of 10. The four categories not enumerated above (2, 3, 7, and 10) address related structural dimensions that are relevant to overall supervisory assessment but are not individually dispositive for pass-through qualification.

MVEP is a diagnostic framework and its application to any specific PPSI would require supervisory judgment. The research program's recommendation is that the FDIC treat MVEP as a principled starting point for the qualification test, not as a mechanical scoring rule. Supervisory discretion is appropriate because the framework's categories interact in ways that a mechanical rule would not capture: a PPSI with a marginal score in one category may be more robustly structured than a PPSI with a higher score in that category but a structural weakness in an adjacent category.

III. Group I: Reserves, concentration, and the SVB lesson (Recommendations 1 through 6)

Recommendation 1 (Q47): Retain the 40 percent single-institution concentration cap at proposed § 350.4(f)

The proposed rule would limit a PPSI's total counterparty exposure to any one eligible financial institution to no more than 40 percent of reserve assets. The research program's recommendation is that the FDIC retain this limit as proposed and treat it as an upper bound, not a calibration target.

The March 2023 Silicon Valley Bank episode underscores why. Circle disclosed that $3.3 billion of USDC reserves, approximately 8 percent of total reserves concentrated at a single non-GSIB (globally systemically important bank) institution, remained at SVB when the bank was taken into receivership. That 8 percent concentration coincided with material peg deviation, with USDC trading at $0.86 at its intraday trough before federal intervention through the systemic risk exception, which the Du, Sonawane, and Watsky FEDS Note (December 17, 2025) documents as the transmission channel. Per the Federal Reserve FEDS Note, Circle's SVB exposure was approximately ten times Circle's subsequently-disclosed December 31, 2023 stockholders' equity of $0.34 billion (Du, Sonawane, and Watsky, "In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins," FEDS Notes, December 17, 2025, DOI 10.17016/2380-7172.3958), a ratio the FEDS Note authors use as a proxy because Circle was private in March 2023.

If 8 percent concentration at a single non-GSIB caused material peg deviation, 40 percent concentration represents a materially higher single-institution exposure. The 40 percent cap should be understood as a ceiling that PPSIs should rarely approach, not a calibration that PPSIs should view as permissible in normal operation. The research program supports the 40 percent cap in the proposed rule and recommends that the final rule preamble state explicitly that the FDIC's supervisory expectations for PPSI reserve custody concentration will be materially below the 40 percent regulatory cap.

Recommendation 2 (Q40, Q60): Cap uninsured deposits as reserve assets and require disclosure of uninsured deposit exposure

Question 40 asks whether there should be a limit on the amount of reserve assets held in uninsured deposits. The research program's recommendation is yes, subject to calibration based on aggregate deposit insurance coverage capacity at the PPSI level.

Uninsured deposits present credit risk that insured deposits do not present. Where a PPSI's reserve deposits exceed the Standard Maximum Deposit Insurance Amount (SMDIA, currently $250,000) at any single institution, the excess is uninsured regardless of the institution's own risk profile. Given that PPSI reserve deposits will routinely exceed the SMDIA at each custodian by many orders of magnitude, the practical consequence is that most PPSI reserve deposits are uninsured, and the FDIC cannot rely on deposit insurance as a backstop for PPSI reserve custody counterparty risk.

Two specific asks follow. First, the final rule should establish that reserve deposits at any single eligible financial institution that exceed a calibrated threshold (for example, 25 percent of total reserves) require the PPSI to demonstrate that the custodian's own capital, liquidity, and risk management profile provides protection commensurate with the exposure. Second, the monthly composition report under proposed § 350.4(g), responsive to Question 60, should disclose the portion of reserve assets held in uninsured deposits by custodian institution, providing both supervisory and market discipline on uninsured concentration. The template at Table 1 to proposed § 350.4(g) already distinguishes insured from uninsured deposits; the recommendation is to require the disclosure by named custodian institution rather than in aggregate, subject to competitive-information protections.

Recommendation 3 (Q50, Q55): Add a principles-based diversification requirement in addition to the 40 percent per-institution cap

Question 50 asks whether the FDIC should impose a principles-based requirement that reserve assets be sufficiently diverse to manage credit, liquidity, interest rate, and price risks. Question 55 asks whether PPSIs should be required to maintain more than one type of reserve asset. The research program recommends yes on both counts.

The 40 percent per-institution cap addresses single-institution concentration but does not address the failure mode of a PPSI holding 100 percent of reserves in a single category of reserve assets at multiple institutions. Consider a hypothetical PPSI holding all reserves as Treasury bills at three custodians in proportions of 40 percent, 35 percent, and 25 percent. Such a PPSI satisfies the proposed § 350.4(f) cap but has no diversification across reserve asset categories. During periods of Treasury market stress, such a PPSI faces correlated liquidity risk across its entire reserve pool.

The recommendation is a principles-based diversification requirement alongside the per-institution cap. The requirement should direct PPSIs to maintain reserves that are sufficiently diverse across reserve asset categories, maturity profiles, and custody institutions to manage credit, liquidity, interest rate, and price risks commensurate with the PPSI's business model and risk profile. Implementation can be through supervisory guidance rather than through prescriptive category caps, preserving PPSI flexibility to calibrate diversification to its specific circumstances.

Recommendation 4 (Q51): Do not exempt a PPSI subsidiary of an FDIC-supervised IDI from proposed § 350.4(f) on the basis of parent-bank size

Question 51 asks whether the FDIC should exempt a PPSI subsidiary of an FDIC-supervised IDI from the 40 percent concentration cap if the IDI has less than a specified amount of total assets (for example, $10 billion, $30 billion, or $50 billion). The research program recommends no.

The within-enterprise concentration of PPSI reserves at the parent IDI is precisely the transmission channel that operated during the March 2023 episode in its most acute form. A subsidiary PPSI holding 100 percent of reserves at its parent IDI provides no diversification: a single event affecting the parent IDI affects the reserve pool in full. The parent IDI's size does not change the concentration mechanics. A smaller parent IDI is, if anything, less capable of absorbing concentrated stress than a larger one, both in absolute terms and relative to the scale of PPSI reserve deposits it may be asked to custody.

The final rule should apply the 40 percent cap uniformly to all FDIC-supervised PPSIs, regardless of parent IDI size. The FDIC should also provide supervisory guidance that a parent IDI serving as a reserve custodian for its subsidiary PPSI receives the same per-institution concentration treatment as any third-party custodian, which operationally means the subsidiary PPSI must diversify its reserve custody across multiple institutions.

Recommendation 5 (Q67): Require PPSIs to monitor the financial condition of eligible financial institutions holding reserve assets

Question 67 asks whether PPSIs should be required to monitor the financial condition of eligible financial institutions holding reserve assets, including IDIs. The research program recommends yes, with specific attention to custodial counterparty concentration.

A PPSI that holds reserves at an eligible financial institution has a dependency relationship with that institution. The institution's financial condition is an input to the PPSI's ability to meet its redemption obligations under section 4(a)(1)(B) of the GENIUS Act and proposed § 350.5(b). A PPSI that does not monitor custodian financial condition is effectively delegating that assessment to the custodian's own primary regulator, without the structured information flow that characterizes, for example, a bank's correspondent banking relationships.

The recommendation is that proposed § 350.6(a)(1)(iv), which requires adequate procedures to monitor, safeguard, manage, and control assets including reserve assets, be supplemented with explicit language requiring monitoring of the financial condition of each eligible financial institution holding reserve assets, with monitoring cadence and intensity commensurate with the PPSI's exposure to that institution. PPSIs exceeding defined concentration thresholds at any single custodian should be required to monitor that custodian through published regulatory data, counterparty credit metrics, and direct supervisory engagement as appropriate.

Recommendation 6 (Q57): Establish IDI-side limits on PPSI reserve deposits exceeding a specified percentage of IDI total deposits

Question 57 asks whether the FDIC should impose limitations on deposits placed as reserve assets by PPSIs at IDIs to address safety and soundness risks to those IDIs. The research program recommends yes, through an IDI-side requirement to hold offsetting cash assets at the Federal Reserve Bank.

The concern this recommendation addresses is the mirror image of Recommendations 1 through 5. Those recommendations address PPSI-side concentration. This recommendation addresses IDI-side concentration: where an IDI accepts reserve deposits from a PPSI in an amount that represents a material percentage of the IDI's total deposits, the IDI becomes exposed to a single-customer concentration that is itself a safety and soundness concern. A sudden redemption request by the PPSI, triggered by a redemption spike in the payment stablecoin market, can transmit liquidity stress directly from the PPSI to the IDI.

The specific ask is that where PPSI reserve deposits exceed a specified percentage of the IDI's total deposits (a calibrated threshold, for example 5 or 10 percent), the IDI be required to hold an offsetting amount in Federal Reserve Bank balances. This requirement mirrors the liquidity treatment that would apply to large non-core funding sources in traditional bank liquidity management and addresses the specific channel by which PPSI stress can transmit to an IDI's balance sheet. The calibration can be established through supervisory process or through a principles-based regulatory standard, depending on the FDIC's preference.

IV. Group II: Deposit insurance, tokenized deposits, rights parity (Recommendations 7 through 10)

Recommendation 7 (Q125, Q130): Reconsider the default non-availability of pass-through deposit insurance; adopt a conditional pass-through framework gated on MVEP qualification

Proposed § 330.11(a)(3) would categorically preclude pass-through deposit insurance for reserve deposits backing payment stablecoins. The FDIC's reasoning is that pass-through would treat payment stablecoin holders as the insured depositors, which the FDIC reads as inconsistent with 12 U.S.C. 5903(e)(1)'s prohibition on payment stablecoins being subject to deposit insurance.

The research program's principal substantive contribution to this rulemaking is the recommendation that the FDIC reconsider this categorical foreclosure. An alternative framework, gated on MVEP qualification, would make pass-through insurance available only to those PPSIs whose structural architecture provides the functional equivalents of deposit protection that historically justify pass-through. This alternative is consistent with the GENIUS Act's statutory architecture, preserves the marketing prohibition, and advances the Act's structural objectives.

The proposed framework. Under the recommended framework, pass-through deposit insurance would be available for reserve deposits backing a PPSI's payment stablecoin where all of the following conditions are met:

(a) The PPSI achieves a Minimum Viable Equivalence Pack (MVEP) qualification score meeting the thresholds identified in Section II: an aggregate score of at least 8 out of 10 across the ten-category framework, no single category scoring below 6 out of 10, and each of the six pass-through-critical categories (Categories 1, 4, 5, 6, 8, and 9) scoring at least 7 out of 10.

(b) The FDIC, as the PPSI's primary Federal payment stablecoin regulator for this rulemaking's population of FDIC-supervised subsidiary PPSIs, attests to the PPSI's MVEP qualification on a quarterly basis as part of the existing examination process. Qualification lapsing below the threshold immediately suspends pass-through eligibility. (Parallel attestation mechanisms for PPSIs under OCC or Federal Reserve supervision would be established through the OCC's and Fed's parallel rulemakings.)

(c) Coverage attaches to the reserve deposit at the IDI, not to the payment stablecoin. The payment stablecoin itself remains uninsured and may not be marketed as insured.

(d) Beneficial ownership of the covered reserve deposit runs through to verified payment stablecoin holders whose identities are ascertainable either from the IDI's records or from records maintained by the PPSI consistent with 12 CFR 330.5(b). On-chain records that establish verifiable beneficial ownership are acceptable.

(e) Each beneficial owner's covered interest is aggregated with other deposits that person holds at the same IDI for purposes of the Standard Maximum Deposit Insurance Amount.

(f) The PPSI discloses to each holder, in advance of acquisition and through the customer agreement required under § 350.5(d), that (i) pass-through coverage attaches to the underlying reserve deposit, not to the payment stablecoin; (ii) coverage is subject to identity verification and aggregation with the holder's other deposits at the same IDI; (iii) coverage may lapse if the PPSI falls below the

MVEP qualification threshold; and (iv) the payment stablecoin itself is not insured and is subject to the GENIUS Act's marketing prohibitions.

Statutory interpretation. The conditional pass-through framework is consistent with 12 U.S.C. 5903(e)(1) and (e)(2) for three reasons.

1. The payment stablecoin itself remains uninsured. Pass-through insurance under existing FDIC doctrine attaches to the underlying deposit, not to the instrument through which the beneficial owner holds their interest. A holder of an IOLTA (interest on lawyer trust account) account interest, a custodial brokerage account interest, or a Section 529 plan interest does not hold an insured instrument; they hold an interest whose underlying deposit is insured. The same structure applies here.

The FDIC's NPRM articulates this concern through two specific framings: that pass-through "treats end customers as depositors," and that pass-through makes the payment stablecoin an "access mechanism" to an insured deposit account. Under the recommended framework, the first framing is accommodated: verified beneficial owners of the underlying reserve deposit are treated as depositors of that deposit, consistent with pass-through doctrine applied to IOLTA accounts, Section 529 plans, and custodial brokerage accounts. The instrument through which the beneficial owner holds their interest (the payment stablecoin) remains uninsured. The second framing requires a distinction: pass-through can make the stablecoin an access mechanism to the insured reserve deposit, but this does not make the stablecoin itself insured. An IOLTA client's beneficial interest is an access mechanism to pass-through-insured trust account funds; the IOLTA arrangement makes client deposits insurable on a pass-through basis without making the lawyer's trust account itself a direct-deposit account of each client. The marketing prohibition at 12 U.S.C. 5903(e)(2) is preserved by the requirement that the stablecoin not be marketed as insured; the disclosure framework under Recommendation 8 makes clear that what is insured is the underlying reserve deposit, subject to pass-through conditions, and that the stablecoin holder's claim runs through the reserve structure rather than attaching to the stablecoin itself.

2. 12 U.S.C. 5903(e)(1)'s prohibition is that the stablecoin "shall not be… subject to deposit insurance." Under the recommended framework, the stablecoin remains not subject to deposit insurance; the reserve deposit is subject to deposit insurance, as reserve deposits are under existing law whether or not they back a payment stablecoin. Against existing FDIC doctrine on pass-through mechanics, including application to IOLTA accounts and Section 529 plans, the GENIUS Act's prohibition on the stablecoin being "subject to deposit insurance" can be read as addressed to the stablecoin as an instrument rather than as a categorical foreclosure on pass-through attachment to the underlying reserve deposit. The GENIUS Act does not directly address pass-through mechanics for reserve deposits; the FDIC has authority to interpret the interaction between the GENIUS Act's prohibition and the FDI Act's pass-through doctrine.
3. The marketing prohibition under 12 U.S.C. 5903(e)(2) is preserved directly. Under the recommended framework, the PPSI may not represent the payment stablecoin as insured. The PPSI may represent that reserve deposits backing the payment stablecoin are insured on a pass-through basis to qualifying holders, subject to the specific conditions and disclosures enumerated above. This is a meaningful distinction: holders understand that their payment stablecoin, as an instrument, is not insured, while also understanding that the underlying reserve structure provides a specific layer of protection available only if the PPSI maintains MVEP qualification.

A possible counterargument is that even conditional pass-through, by associating any form of deposit insurance with the reserve structure, creates consumer confusion that the GENIUS Act's marketing prohibition was designed to prevent. The response is that the consumer confusion concern cuts in the opposite direction under the recommended framework. Under the FDIC's proposed § 330.11(a)(3), holders of payment stablecoins at a PPSI with sophisticated structural protections (high MVEP scores) receive identical treatment for deposit insurance purposes to holders of payment stablecoins at a PPSI with minimal structural protections (low MVEP scores). Both sets of holders are told that the stablecoin is uninsured; neither set is told that the underlying reserve arrangements differ materially in structural integrity. The conditional framework corrects this by making structural integrity legible in a way that consumers can act on: payment stablecoins from MVEP-qualifying PPSIs carry a specific pass-through attachment to insured reserve deposits for verified holders, while payment stablecoins from non-qualifying PPSIs do not. This is the opposite of consumer confusion; it is structural transparency. The marketing prohibition is preserved by the requirement that the stablecoin itself not be marketed as insured; the reserve structure and its pass-through attachment are separate disclosures under Recommendation 8's disclosure framework.

Why this matters for the GENIUS Act's objectives. The GENIUS Act's structural framework is designed to produce PPSIs whose operational integrity is commensurate with the payment function they serve. Conditional pass-through gated on MVEP qualification reinforces this structural design. A PPSI seeking pass-through eligibility has strong incentives to maintain high scores across all ten MVEP categories: reserve discipline, legal framework, governance, operational resilience, and supervisory observability. These are the features that the GENIUS Act itself is designed to promote.

MVEP-gating therefore operates as an incentive alignment mechanism, not as a regulatory accommodation. A PPSI that does not meet the MVEP threshold receives the FDIC's proposed § 330.11(a)(3) treatment (no pass-through) by default. A PPSI that does meet the threshold has, by construction, invested in the structural features that the GENIUS Act was designed to promote: the conditional pass-through framework makes pass-through harder to achieve than the current market state, not easier, and rewards only the operators whose architectures provide genuine structural equivalents of deposit protection.

Market impact considerations. The FDIC's proposed § 330.11(a)(3) categorical foreclosure will likely be interpreted by the market as establishing a structural distinction between payment stablecoins and bank deposits such that the former cannot offer deposit-equivalent protections. Under conditional pass-through, the distinction becomes: payment stablecoins from MVEP-qualifying PPSIs provide holders with specific pass-through-protected reserve interests, while payment stablecoins from non-qualifying PPSIs do not. This creates a market signal that rewards structural discipline in operator design. The research program views this market effect as aligned with the GENIUS Act's objectives.

Banking sector considerations. Some banking sector observers may read this recommendation as advocating for regulatory accommodation of stablecoins at the expense of the deposit franchise. The research program views the recommendation differently. Under the conditional pass-through framework, pass-through is available only through reserve deposits actually held at IDIs, which creates a structural incentive for MVEP-qualifying PPSIs to hold reserves as insured deposits rather than in Treasury bills, repurchase agreements, or money market fund securities. The framework therefore tilts the reserve composition choice toward IDI deposit custody, expanding rather than contracting the intersection between payment stablecoin operations and the banking system.

Recommendation 8 (Q38, Q130): Strengthen the disclosure framework so that holders of payment stablecoins from non-MVEP-qualifying PPSIs understand the absence of pass-through coverage

Whether or not the FDIC adopts the conditional pass-through framework proposed in Recommendation 7, the disclosure framework for payment stablecoin holders should be strengthened. Under the FDIC's current proposal at § 330.11(a)(3), no PPSI's payment stablecoin holders receive pass-through coverage. Under the recommended conditional framework, only MVEP-qualifying PPSIs' holders receive such coverage. In either case, holders need to understand their position clearly.

The specific ask is that the final rule require, through the customer agreement disclosures under § 350.5(d) and through the reserve composition report under § 350.4(g), a standardized disclosure statement covering: (a) whether the payment stablecoin is issued by an MVEP-qualifying PPSI (if the conditional framework is adopted); (b) whether the reserve deposits backing the payment stablecoin are subject to pass-through deposit insurance to qualifying holders (if applicable); (c) the circumstances under which pass-through coverage would lapse (if applicable); (d) the legal nature of the holder's claim if pass-through is not available (a contractual claim against the PPSI, not a deposit claim); and (e) a reference to the FDIC's reserve composition and custody rules that apply to the PPSI.

The disclosure framework operates in parallel to the rights-parity disclosures recommended in the research program's companion comment on the FDIC application rule (RIN 3064-AG20), Recommendation 4. The application rule's customer agreement disclosures characterize the legal nature of the holder's claim at the point of application and approval; this rule's disclosure framework operates throughout the ongoing life of the PPSI. Together, the two rulemakings establish a disclosure regime that addresses both the PPSI's initial approval and its ongoing operations.

Recommendation 9 (Q131, Q134): Support the technology-neutral clarification of "deposit" at proposed § 330.1(e) and § 330.3(k)

The FDIC's proposed clarification that the technology or recordkeeping utilized by an IDI to record deposit liabilities does not affect whether those liabilities constitute "deposits" is a structural clarification that the research program supports. The clarification aligns with the analytical conclusion developed in Zukowski, "Seven Dollars" (Tokenization Systems working paper, forthcoming), which analyzes the legal status of tokenized dollar-denominated instruments, including tokenized deposits, across their substantive economic and legal characteristics rather than their recordkeeping technology.

A tokenized deposit is a deposit that happens to be recorded on a distributed ledger: the ledger mirrors the IDI's core banking records, the instrument is typically non-fungible and single-bank, and the depositor's legal claim against the IDI is unchanged. The related but distinct category of deposit tokens operates on its own ledger, is typically fungible across multiple issuing banks, and is used for interbank settlement rather than as a substitute for a deposit relationship. The FDIC's technology-neutral clarification properly addresses the tokenized deposit case, because the legal status of the instrument is determined by its substantive economic and legal characteristics (convertibility, redeemability, obligor, legal enforceability), not by the recordkeeping technology. The deposit token case raises separate questions that this rulemaking does not need to address.

The proposed § 330.1(e) amendment to "deposit account records" and the proposed § 330.3(k) technology-neutrality clarification together implement this substantive reading within the deposit insurance regulatory framework. The research program supports both amendments and recommends that the final rule preamble articulate the analytical foundation explicitly: the statutory definition of "deposit" under section 3(l) of the FDI Act is substantive, not technology-dependent; the application of that definition to a specific liability turns on whether the liability meets the substantive criteria, regardless of the technology used to record it.

Recommendation 10 (Q138): Classify a digital asset representing a claim on a deposit (but not itself a tokenized deposit) as a payment stablecoin backed by tokenized deposits, not as a tokenized deposit

Question 138 asks how the FDIC should treat a digital asset that represents an interest in or claim on a deposit at an IDI but is not itself the tokenized deposit. This is an important boundary question that arises directly from the analytical framework of Seven Dollars.

The recommendation is that such a digital asset be classified as a payment stablecoin backed by tokenized deposits, not as a tokenized deposit, consistent with the GENIUS Act's payment stablecoin definition. The reasoning proceeds in three steps.

1. The digital asset described in Question 138 does not meet the substantive definition of a deposit under section 3(l) of the FDI Act, because the instrument is a claim on a deposit rather than a deposit itself. The holder's legal position is different: a depositor has a direct claim against the IDI; a holder of a claim-on-deposit instrument has a claim against the instrument's issuer, who in turn holds the deposit.
2. Under the GENIUS Act's definition at 12 U.S.C. 5901(22)(A), the claim-on-deposit instrument meets the definition of a payment stablecoin if it is (i) a digital asset that is or is designed to be used as a means of payment or settlement and (ii) the issuer is obligated to convert, redeem, or repurchase the instrument for a fixed amount of monetary value. A digital asset representing a redeemable claim on a deposit will typically satisfy both criteria.
3. The GENIUS Act's exclusions at 12 U.S.C. 5901(22)(B) are not triggered. The instrument is not a national currency, not a deposit (per step one), and not a security. It therefore meets the payment stablecoin definition and is subject to the GENIUS Act framework. The fact that its reserve asset is tokenized deposits does not change its classification.

The practical consequence is that a bank seeking to offer such an instrument to its customers is operating a payment stablecoin activity subject to the GENIUS Act. Three configurations may arise in practice: first, a bank issuing tokenized deposits to its own customers without an associated payment stablecoin (not a PPSI arrangement; remains bank deposits under the proposed § 330.1(e) clarification); second, a bank operating as a Federal qualified payment stablecoin issuer (FQPSI) and issuing a payment stablecoin backed by its own tokenized deposits (OCC supervision; subject to GENIUS Act requirements); third, a subsidiary PPSI issuing a payment stablecoin backed by tokenized deposits held at the parent IDI (this rule's supervision; subject to this rule plus the application rule at RIN 3064-AG20). The research program recommends that the final rule preamble distinguish these three configurations explicitly and clarify that the Q138 classification (payment stablecoin backed by tokenized deposits) applies to the second and third configurations, coordinating with the OCC's parallel rulemaking on FQPSI approvals.

V. Group III: Risk management, private keys, and control-layer observability (Recommendations 11 and 12)

Recommendation 11 (Q83): Require operational verification of private key management controls in proposed § 350.6(b)

The FDIC's proposed § 350.6(b)(3) addresses private key management, backup, and recovery in principles-based terms and identifies three example layered-security components: multi-party computation or multi-signature technology with cold or offline storage; geographically dispersed, encrypted, regularly tested recovery keys; and monitoring for material on-chain updates including forks and smart contract vulnerabilities. The research program's recommendation is that the final rule elevate these examples from illustrative to operational verification requirements.

The operational verification requirement would direct the FDIC's examination process under proposed § 350.7 to test, not merely review documentation of, the PPSI's private key management controls. Test procedures would include demonstration of multi-party computation or multi-signature recovery under controlled conditions, verification of geographic dispersion through custody attestation from the recovery-key custodians, and demonstration of smart contract monitoring through response-time measurements for simulated anomaly events.

This recommendation is consistent with the operational verification requirement proposed for the parallel FinCEN PPSI rulemaking (Recommendation 2 of the research program's FINCEN-2026-0100 comment), which addresses the block/freeze/reject operational capability required under proposed 31 CFR 1033.240. The two rulemakings together establish an operational verification regime for the PPSI's two most consequential technical control-layer capabilities: reserve and private key custody (this rule) and AML/CFT-mandated transactional control (FinCEN rule).

Recommendation 12 (Q91): Calibrate the proposed § 350.7(g) confidential weekly report to include specific control-layer observability data points

The FDIC's proposed § 350.7(g) confidential weekly report lists eight candidate data categories and seeks comment on the appropriate content. The research program's recommendation is that the report include the full set proposed by the FDIC and, in addition, three specific control-layer observability categories.

The three additional categories are: (a) reserve custody counterparty exposures, including the named custodian for each portion of reserves and the exposure amount, beyond what the monthly composition report under § 350.4(g) already requires, with weekly granularity; (b) block, freeze, and reject action counts, aligned with the reporting required under the parallel FinCEN PPSI rulemaking at FINCEN-2026-0100's proposed 31 CFR 1033.240, for supervisory consistency; and (c) the largest secondary-market holders of the payment stablecoin, identified by wallet address or by beneficial owner where the PPSI has that information.

These three categories address control-layer observability specifically. Reserve custody exposure data allows the FDIC to track concentration in near real time, not just at month-end. Block/freeze/reject action counts allow the FDIC to assess the PPSI's exercise of its technical control capability and to coordinate with FinCEN's parallel supervision. Largest-holder data allows the FDIC to identify concentration risk at the holder level, which is material for redemption liquidity planning and for supervising the operator's relationship with its largest holders.

VI. Observation on capital framework (Q100)

The research program offers a brief observation on the capital framework at proposed §§ 350.8, 350.9, and 350.10.

The GENIUS Act's structural design, with its narrow reserve composition, narrow activities, and statutory amendments to the U.S. Bankruptcy Code protecting payment stablecoin holders' claims, constrains the capital calibration problem for PPSIs. The research program's analytical contribution to capital calibration is thin relative to its contribution to reserve discipline and deposit insurance treatment, and the research program defers to commenters with capital-framework expertise on the calibration questions raised in Questions 96 through 112.

On Question 100 specifically, regarding the proposed operational backstop, the research program observes that the proposed 12-months-of-total-expenses calibration is a reasonable starting point for a principles-based requirement. The operational backstop's purpose is to provide liquidity for continued operations during a business disruption independent of reserve assets, and 12 months is consistent with the order of magnitude of disruption scenarios the FDIC would need to supervise through. The research program offers no specific modification to this calibration.

VII. Conclusion

The twelve recommendations and one observation above are designed to be implementable within the proposed rule's existing structure. The three-group organization reflects the research program's view that three structural features of PPSI operations warrant distinct attention in the final rule: reserve custody concentration as a distinct risk channel from composition; deposit insurance pass-through as a structural-discipline mechanism; and control-layer observability through the reporting and risk management provisions. Recommendation 7's conditional pass-through framework is the research program's principal substantive contribution; the other recommendations are calibrations and specifications of the FDIC's proposed approach.

This rule, together with the concurrent application rule at RIN 3064-AG20 and the forthcoming FDIC rulemakings on capital and liquidity requirements, will define the FDIC's supervisory architecture for subsidiary PPSIs. The three-rulemaking package gives the FDIC an integrated framework in which the application stage establishes the baseline (AG20), the substantive requirements address ongoing operations (this rule), and the capital and liquidity provisions address stress resilience (forthcoming). The recommendations in this comment are calibrated to this integrated framework rather than to this rule in isolation, and they coordinate with the parallel FinCEN, banking agency, OCC, and Treasury rulemakings that together complete the federal operational architecture for payment stablecoins.

The research program appreciates the FDIC's careful work on this proposal and the evident effort to balance statutory implementation, supervisory capacity, and regulatory burden. The recommendations above are offered in the same spirit.

Respectfully submitted,

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